Sands China Ltd (: 1928.HK)

CONFIDENTIAL · INTERNAL
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Q3 2026 Earnings — Analyst Brief · Released 22 Oct 2026 (HKEX announcement, 04:00 HKT; LVS release 21 Oct 2026 after US close) · Currency USD (Sands China reports in US$; tables in millions unless stated). HK$ items converted at ~7.84 HKD/USD.

1928.HK closed -4.5% at HK$10.86 (~$1.39) on 22 Oct 2026, the first session after the 04:00 HKT release and a fresh 52-week low (prior range HK$10.89-22.00; stock ~-42% YTD into the print); it recovered +1.1% to HK$10.98 on 23 Oct. Parent LVS fell 2.6% on 22 Oct despite a 20% dividend increase and $950m of buybacks.

THE ONE-LINE VERDICT

A volume-and-share quarter that did not reach the P&L. Sands China grew gaming volumes in every segment (rolling +31%, non-rolling drop +11%, slot/ETG handle +26% YoY) and lifted mass GGR share to 26.1% – its best since Q4-23 – yet luck-adjusted EBITDA of $518m was -13.5% YoY and flat QoQ, because Londoner's premium-mass hold collapsed 480bps and the cost base is now ~$100m/quarter heavier. The reported +23% QoQ EBITDA rebound to $529m is almost entirely hold normalisation; shares fell 4.5% to a fresh 52-week low of HK$10.86 (~$1.39).

NET REVENUE (SCL, US GAAP)	ADJ. PROPERTY EBITDA	ADJ. EBITDA MARGIN	HOLD-ADJUSTED EBITDA (3.3% RC HOLD)	NET INCOME (SCL, US GAAP)	MACAU MASS GGR SHARE
$1.93bn	**$529m**	**27.3%**	**$518m**	**$191m**	**26.1%**
+1.4% YoY / +8.4% QoQ	-12.0% YoY / +23.0% QoQ	-420bps YoY / +330bps QoQ	-13.5% YoY / +0.2% QoQ	-29.8% YoY / +78.5% QoQ	Highest since Q4-23

1 EXECUTIVE SUMMARY

- **Headline: in line with a de-rated bar, below the published consensus.** SCL net revenue +1.4% YoY to $1.93bn (US GAAP), adj. property EBITDA -12.0% to $529m, net income -29.8% to $191m. JPMorgan put luck-adjusted EBITDA ($518m) ~2% below the $527m sell-side consensus but above buy-side numbers that had drifted sub-$500m; Citi was 4% below its own forecast; CLSA called it 'in line'. The market read it as 'weak but known': 1928.HK -4.5%.
- **The QoQ 'rebound' is luck, not operations.** Reported EBITDA rose $99m QoQ ($430m → $529m), but Q2 carried an $87m unfavourable rolling-hold hit and Q3 a $11m favourable one. On a luck-adjusted basis EBITDA was $517m → $518m – flat – and the luck-adjusted margin improved only 30bps to 27.0% (vs 31.5% in Q3-25).
- **Which 'division' drove it: The Londoner.** Londoner EBITDA -18.7% YoY to $178m (margin 26.0%, -590bps) on non-rolling hold of 18.6% vs 23.4% – management attributed it to playing 'unlucky' against super-high-end premium-mass customers. At prior-year hold, Londoner's table win would have been ~$135m higher (our estimate, pre-tax/rebates). Every other Cotai property except Venetian grew revenue.
- **Volumes and share are genuinely strong.** Portfolio rolling-chip volume $5.74bn (+31% YoY), non-rolling drop $7.18bn (+11%), slot/ETG handle $6.60bn (+26%). Slot/ETG revenue +18% vs +9% for the Macau market. Mass GGR share 26.1% is the best since Q4-23; our rough estimate of share of total market GGR is ~25% (gross win ~$1.9bn vs DICJ Q3 GGR MOP60.2bn/~$7.46bn).
- **Market backdrop is deteriorating and management cannot explain the high end.** Macau Q3-26 GGR -3.8% YoY (-1.3% QoQ), mass baccarat -7.9%, VIP flat, slots +18.8%; September (-1.2%) was the fourth consecutive monthly YoY decline and analysts expect October to be the fifth. Management cited macro, the World Cup and Chinese offshore-wealth tax concerns but explicitly could not isolate a cause.
- **Cost base is structurally higher and management will not cut it.** Macao Ops opex $1,411m, +$106m (+8.1%) YoY; ~$25m of that is gaming tax on higher win, the remaining ~$80m is table operating hours, sales/marketing/service headcount. Dumont: 'focused on investment for growth, not on cutting our personnel we just hired'. Fixed costs were flat QoQ and no significant further headcount build is planned beyond cost-of-living adjustments.
- **Reinvestment is being optimised, not escalated.** Grant Chum said SCL has reduced reinvestment sequentially since Q1 while gaining share; the market 'remains very competitive' with no let-up but no major escalation either. Promo intensity is not disclosed as a % of handle.
- **Venetian is the drag by design.** Revenue -6.2% to $649m, EBITDA -15.3% to $205m (31.6% margin) with ~400 rooms out in Q3, ~500 out in Q4 and through Q4-27; average tables -28 units, slots -250 units YoY. ~600 renovated rooms are back and feedback 'surpassed expectations'; full reintroduction with premium gaming salons by CNY 2028.
- **Base/mid-mass repositioning is working.** Sands Macao revenue +37.5% ($99m, EBITDA +75%), Parisian +6.0% ($231m) with slot handle +39%, Plaza/Four Seasons +15.5% ($238m, EBITDA $85m, 35.7% margin). Patron count grew double digits, property visitation high-single digits, retail tenant sales +10% YoY.
- **No formal guidance; the $700m quarterly EBITDA goal is retained with no date.** Management's near-term markers: Q4 seasonally stronger (Golden Week, NBA Macau week year 2, December), ~500 Venetian rooms out, flat fixed opex. We model Q4-26E EBITDA ~$545-575m hold-normalised (see forecast).
- **9M-26: revenue +7.8% to $5.81bn, EBITDA -6.5% to $1.59bn, net income -14.0% to $592m.** Margin 27.2% vs 31.4%. Implied Q1-26 was the strong quarter (EBITDA ~$633m); Q2 ($430m) and Q3 ($529m) show the earnings power has reset to ~$520m luck-adjusted until the premium product cycle completes.
- **Capital position adequate but tightening.** Unrestricted cash $1.09bn at 30 Sep; HK$18.10bn (~$2.31bn) undrawn on the 2024 SCL Revolver. Total borrowings were $6.43bn at 30 Jun (IFRS; down from $7.10bn at Dec-25 after $613m revolver repayments) – the 30 Sep debt figure is not disclosed. Our net debt estimate ~$5.3bn, ~2.5x annualised EBITDA.
- **Refinancing launched 26 Oct.** SCL is marketing USD senior unsecured notes to redeem the $700m 2.300% 2027s, repay the drawn revolver and fund capex. Replacing a 2.3% coupon in today's market likely adds ~$20m/yr of interest (our estimate); terms unpriced.
- **Dividend: HK$0.50 interim (~$0.064/sh, HK$4.05bn/~$516m) was paid on 9 Oct – i.e. after quarter end,** so Q4 net debt will rise. On a HK$1.00 annualised payout (~$1.03bn) the yield is ~9.2% at HK$10.86, but cover from FCF after ~$600-700m capex is thin at the current ~$2.1bn EBITDA run-rate.

- **LVS keeps buying the subsidiary.** LVS bought 62m SCL shares for HK$793m (~$101m) in Q3, lifting its stake to 75.56%; management reiterated it prefers buying LVS/SCL stock to M&A and has no interest in taking LVS private. Free float continues to shrink.
- **Capex framework clarified.** D&A runs ~$750-800m/yr; maintenance capex ~$300m. 2027 development capex centres on three projects: Venetian renovation (highest ROI), Conrad renovation/rebrand into a Londoner-themed hotel, and an accelerated Botanic Garden concession commitment. Q3 Macao capex $154m.
- **Income statement below EBITDA:** D&A $197m (+3%), corporate $55m, net interest $73m (vs $76m), SBC $4m, tax $1m. Net income QoQ +78.5% from Q2's $107m. SCL does not report quarterly EPS; implied ~US$0.024 (~HK$0.18) on ~8.09bn shares (our estimate).
- **Thesis read-through.** The bull case (share gains + product cycle → operating leverage into $700m/qtr) is intact on volumes but pushed out; the bear case (structurally higher opex into a shrinking, promotionally intense market with an unexplained high-end slowdown) has the near-term numbers. Until the market returns to growth, luck-adjusted EBITDA of ~$520m/qtr and ~27% margin is the base case.

2 GROUP FINANCIAL SUMMARY

US$M (US GAAP; SCL CONSOLIDATED UNLESS STATED)	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE					
Net revenue – SCL consolidated	**1,930**	**+8.4%**	**+1.4%**	**5,810**	**+7.8%**
Net revenue – Macao Operations (LVS segment basis)	1,940	+8.4%	+1.8%	5,844	+8.0%
Casino	1,454	+10.4%	+1.7%	n/a	n/a
Rooms	214	n/a	-2.7%	n/a	n/a
Food & beverage	72	n/a	+2.9%	n/a	n/a
Mall	133	n/a	+2.3%	n/a	n/a
Convention, retail & other	29	n/a	+16.0%	n/a	n/a
Ferry operations & other	38	-2.6%	+18.8%	115	+18.6%
REVENUE BY PROPERTY					
The Venetian Macao	649	+9.8%	-6.2%	1,950	-2.2%
The Londoner Macao	685	-3.5%	-0.1%	2,149	+15.7%
The Parisian Macao	231	+6.0%	+6.0%	678	+6.1%
The Plaza Macao & Four Seasons	238	+73.7%	+15.5%	665	+9.4%
Sands Macao	99	+4.2%	+37.5%	287	+31.7%
PROFITABILITY					
Adj. property EBITDA	**529**	**+23.0%**	**-12.0%**	**1,592**	**-6.5%**
Adj. EBITDA margin	27.3%	+330bps	-420bps	27.2%	-420bps
Hold-adjusted EBITDA (3.3% rolling hold) Company estimate of EBITDA had rolling-chip win equalled 3.3%: Q3-26 -$11m, Q2-26 +$87m, Q3-25 -$2m.	518	+0.2%	-13.5%	n/a	n/a
Hold-adjusted margin	27.0%	+30bps	-450bps	n/a	n/a
Depreciation & amortisation	197	n/a	+3.1%	587	+1.4%
Corporate expense	55	n/a	+1.9%	154	+12.4%
Net interest expense	73	n/a	-3.9%	225	-7.8%
Net income – SCL (US GAAP)	**191**	**+78.5%**	**-29.8%**	**592**	**-14.0%**
Implied EPS (our estimate, ~8.09bn shares) SCL reports EPS only at interim/full-year under IFRS; quarterly figure is implied, not company-reported.	~US$0.024 (~HK$0.18)	n/a	n/a	~US$0.073 (~HK$0.57)	n/a
OPERATING KPIS					
Macau mass GGR market share	26.1%	up (not quantified)	up (not quantified)	n/a	n/a
Rolling chip volume (US$m)	5,739	-24.2%	+31.4%	n/a	n/a
Non-rolling chip drop (US$m)	7,183	-0.1%	+10.6%	n/a	n/a
Slot & ETG handle (US$m)	6,595	+2.2%	+26.4%	n/a	n/a
CASH, DEBT & CAPITAL					
Unrestricted cash (30 Sep 26)	1,090	n/a	n/a	1,090	n/a
Total borrowings (30 Jun 26, IFRS) 30 Sep 26 debt not disclosed in the Q3 announcement.	6,433	n/a	vs 7,097 at Dec-25	6,433	n/a
Net debt / annualised EBITDA (our estimate)	~5,340 / ~2.5x	n/a	n/a	n/a	n/a
Undrawn 2024 SCL Revolver	HK$18.10bn (~$2.31bn)	n/a	n/a	n/a	n/a
Capex – Macao	154	n/a	n/a	n/a	n/a
Interim dividend (paid 9 Oct 26)	HK$0.50 (~$0.064)/sh; HK$4.05bn (~$516m)	n/a	n/a	n/a	n/a
LVS ownership of SCL	75.56%	+62m shs (HK$793m/~$101m)	n/a	n/a	n/a

3 SEGMENT DEEP-DIVE — MACAO GAMING OPERATIONS (BY PROPERTY)

> **Volumes up across every segment and mass share at a three-year high, but Londoner's 18.6% premium-mass hold and a heavier cost base left luck-adjusted EBITDA flat QoQ at ~$518m.**

HEADLINE RESULTS

Macao adjusted property EBITDA was $529m on $1.94bn revenue, a 27.3% margin versus 31.5% a year ago and 24.0% in Q2.

- Casino revenue $1,454m, +1.7% YoY and +10.4% QoQ; estimated gross table-and-slot win ~$1.90bn (+3.4% YoY, +6.2% QoQ).
- Rolling-chip volume $5.74bn, +31% YoY but down 24% from Q2's unusually high $7.57bn; non-rolling drop $7.18bn +11% YoY, flat QoQ.
- Slot/ETG handle $6.60bn, +26% YoY.
- Mass GGR share reached 26.1%, the strongest since Q4-23; management credits product, longer table hours, more staff and optimised reinvestment.
- Management conceded spend per visitor softened at the high end and could not pin down why.

HOLD AND LUCK ADJUSTMENT

Rolling hold of 3.64% flattered EBITDA by $11m, but unlucky 18.6% Londoner premium-mass hold drove the YoY shortfall; luck-adjusted EBITDA ~$518m, flat QoQ.

- Luck-adjusted EBITDA $518m, down 13.5% from $599m a year ago and essentially unchanged from Q2's $517m; revenue flattered by $19m.
- Management does not hold-adjust mass; blended non-rolling hold fell to 20.4% from 23.1% in Q3-25, Londoner 18.6% versus 23.4%.
- Mass table win down ~2% YoY despite drop +11%; at last year's hold Londoner table win would have been ~$135m higher on our arithmetic.
- Slot win rose ~18% to ~$223m, matching the company's statement of 18% slot/ETG revenue growth versus 9% for the market.

PROPERTY PERFORMANCE

The Londoner carried the weakness with EBITDA -18.7% to $178m, while Plaza rebounded, Venetian was weak by design and Sands Macao grew 37.5%.

- Londoner: revenue flat at $685m, margin 26.0% (-590bps YoY, -100bps QoQ) despite rolling volume +39% to $3.22bn and drop +24% to $2.80bn; table win per unit per day $12,929 from $13,115, slot win per unit +20% to $696.
- Venetian: revenue -6.2% to $649m, EBITDA -15.3% to $205m (31.6% margin) with ~400 rooms out, 28 fewer tables and ~250 fewer slots; rolling volume +44% to $917m; ~600 renovated rooms returned.
- Plaza/Four Seasons: rolling hold swung from -1.15% in Q2 to 3.76%; revenue +74% QoQ, +15.5% YoY to $238m, EBITDA $85m (35.7% margin); RevPAR $485 at 96.1% occupancy.
- Parisian: revenue +6% to $231m, slot handle +39% to $1.40bn, but EBITDA -13% to $46m (19.9% margin, -440bps).
- Sands Macao: revenue +37.5% to $99m, EBITDA $14m (+75%) after slots expanded from 810 to 1,362 units (handle +150% to $1.57bn) at 2.1% hold.

COST BASE

Operating costs rose $106m or 8.1% YoY to $1,411m; we see a cost base needing ~$100m/quarter more revenue than a year ago just to stand still.

- Costs up $51m QoQ; we attribute ~$25m of the YoY rise to gaming tax on higher gross win and ~$80m to deliberate investment in table hours, sales, marketing and service headcount.
- Management says fixed expenses were essentially flat QoQ and no further significant headcount build is planned beyond cost-of-living adjustments.
- Dumont will not reverse hiring even if the market stays soft, as teams are needed to operate renovated premium product.
- Chum said reinvestment has been reduced sequentially since Q1 while share rose; market remains very competitive with no let-up but no major escalation.
- Citi read the 30bps luck-adjusted margin improvement as discipline; we read it as the floor of the cost base.

CAPACITY AND PRODUCT PLANS

Plans were reiterated, not changed; the $700m quarterly EBITDA goal, a 35% uplift on the luck-adjusted run-rate, has no timeline.

- Venetian renovation keeps ~500 rooms out on average through Q4-27 (versus ~400 in Q3), with reintroduction by Chinese New Year 2028 alongside new premium gaming salons.
- Conrad to be renovated and rebranded as a Londoner-themed hotel; Botanic Garden concession project is being accelerated.
- Average table count unchanged at 1,637, slots broadly flat at ~5,500, so growth must come from yield, share and returning Venetian rooms.
- The $700m goal is explicitly conditional on completing the product programme and the Macau market growing again.

MACAU MARKET

Q3 Macau GGR fell 3.8% YoY to MOP60.2bn (~$7.46bn); SCL's share gains look real, but the question is the value of share in a shrinking market.

- GGR down 1.3% QoQ; mass baccarat -7.9%, broader mass -5.2%, VIP +0.1%, slots +18.8%.
- September's -1.2% was the fourth consecutive monthly decline and the lowest monthly total of 2026; analysts suggested October will be the fifth.
- Chum said the decline was sharper in June and July than August and September (World Cup effect) and Q4 is seasonally stronger 'all else equal'.
- JPMorgan estimates industry Q3 EBITDA fell ~10% YoY and sees downside risk to 2H26/2027 estimates.
- SCL's double-digit patron growth, high-single-digit visitation growth and 10% retail tenant-sales growth argue share gains are real.

US$M – MACAO OPERATIONS (LVS SEGMENT BASIS)	Q3-26	QOQ	YOY	9M-26	9M YOY
SEGMENT					
Net revenue	**1,940**	**+8.4%**	**+1.8%**	**5,844**	**+8.0%**
Casino revenue	1,454	+10.4%	+1.7%	n/a	n/a
Adj. property EBITDA	**529**	**+23.0%**	**-12.0%**	**1,592**	**-6.5%**
EBITDA margin	27.3%	+330bps	-420bps	27.2%	-420bps
Operating costs (revenue less EBITDA)	1,411	+3.8%	+8.1%	4,252	+14.6%
Hold-adjusted EBITDA	518	+0.2%	-13.5%	n/a	n/a
PORTFOLIO VOLUMES & HOLD					
Rolling chip volume	5,739	-24.2%	+31.4%	n/a	n/a
Blended rolling hold (expected 3.3%)	3.64%	vs 1.35%	vs 3.39%	n/a	n/a
Non-rolling chip drop	7,183	-0.1%	+10.6%	n/a	n/a
Blended non-rolling hold	20.4%	flat	-270bps	n/a	n/a
Slot & ETG handle	6,595	+2.2%	+26.4%	n/a	n/a
Blended slot hold	3.4%	flat	-20bps	n/a	n/a
Gross win (our estimate, pre-rebates) Sum of volume × reported hold by property; indicative only, not company-reported.	~1,900	+6.2%	+3.4%	n/a	n/a
Average tables / slots in operation	1,637 / 5,512	n/a	flat / +0.4%	n/a	n/a
THE VENETIAN MACAO					
Net revenue	649	+9.8%	-6.2%	1,950	-2.2%
Adj. EBITDA / margin	205 / 31.6%	+24.2%	-15.3% / -340bps	608 / 31.2%	-13.5%
RC volume / RC hold	917 / 3.97%	vs 1,028 / 0.62%	+44% / vs 5.87%	n/a	n/a
NR drop / NR hold	2,354 / 22.4%	-4.0% / vs 20.4%	-1.5% / -120bps	n/a	n/a
Slot handle / hold	1,367 / 3.5%	-2.3%	-4.4% / -10bps	n/a	n/a
THE LONDONER MACAO					
Net revenue	685	-3.5%	-0.1%	2,149	+15.7%
Adj. EBITDA / margin	178 / 26.0%	-7.3%	-18.7% / -590bps	593 / 27.6%	+2.8%
RC volume / RC hold	3,216 / 3.43%	-8.7% / vs 3.67%	+39% / vs 3.65%	n/a	n/a
NR drop / NR hold	2,803 / 18.6%	+8.5% / vs 20.8%	+24% / -480bps	n/a	n/a
Slot handle / hold	2,256 / 4.0%	+1.3%	+5.4% / +10bps	n/a	n/a
THE PARISIAN MACAO					
Net revenue	231	+6.0%	+6.0%	678	+6.1%
Adj. EBITDA / margin	46 / 19.9%	+21.1%	-13.2% / -440bps	130 / 19.2%	-20.2%
NR drop / NR hold	761 / 22.5%	-6.7% / vs 21.6%	-3.1% / +100bps	n/a	n/a
Slot handle / hold	1,404 / 3.7%	+7.8%	+39% / +10bps	n/a	n/a
THE PLAZA MACAO & FOUR SEASONS					
Net revenue	238	+73.7%	+15.5%	665	+9.4%
Adj. EBITDA / margin	85 / 35.7%	vs 20	+14.9% / -20bps	219 / 32.9%	+2.3%
RC volume / RC hold	1,584 / 3.76%	-44% / vs -1.15%	+13% / vs 1.84%	n/a	n/a
NR drop / NR hold	785 / 22.2%	-6.4% / vs 21.6%	+15% / -350bps	n/a	n/a
SANDS MACAO					
Net revenue	99	+4.2%	+37.5%	287	+31.7%
Adj. EBITDA / margin	14 / 14.1%	+27.3%	+75.0% / +300bps	34 / 11.8%	+25.9%

US$M – MACAO OPERATIONS (LVS SEGMENT BASIS)	Q3-26	QOQ	YOY	9M-26	9M YOY
NR drop / NR hold	480 / 15.5%	-3.4% / vs 14.2%	+29% / -90bps	n/a	n/a
Slot handle / hold	1,568 / 2.1%	+2.8%	+150% / -70bps	n/a	n/a
MARKET CONTEXT (DICJ)					
Macau GGR (MOP bn)	60.2 (~$7.46bn)	-1.3%	-3.8%	187.7	+3.2%
Mass baccarat / VIP / slots YoY	-7.9% / +0.1% / +18.8%	n/a	n/a	n/a	n/a
SCL mass GGR share	26.1%	up (n/q)	up (n/q)	n/a	n/a

4 SEGMENT DEEP-DIVE — NON-GAMING: HOTEL, RETAIL MALL, F&B AND FERRY

Non-gaming held up – rooms flat on fewer keys, Cotai malls at an 87% operating margin with tenant sales +10% – but ferry/other EBITDA fell to $1m.

HOTEL ROOMS

Non-casino revenue was $486m (25% of segment revenue, +2.0% YoY); room revenue fell 2.7% to $214m on ~400 Venetian rooms out, with rates holding.

- Every property ran at or above 96% occupancy.
- Venetian ADR $200 (RevPAR $197); Londoner $264 ($257, +$4); Plaza/Four Seasons $504 ($485, +$29 on occupancy +350bps to 96.1%).
- Parisian ADR $144 ($142, -$5); Sands Macao $162 ($161).
- Londoner hotel complex was the room-revenue engine at $103m.
- Returning Venetian premium suites (~600 rooms) are managed for customer mix rather than volume, which we think is the right call.

RETAIL MALLS

Cotai malls earned $114m operating profit on $131m gross revenue, an 87.0% margin, with tenant sales +10% YoY; retail remains the highest-quality earnings stream.

- 1.87m sq ft of GLA at 87.3% occupancy and trailing-twelve-month tenant sales of $2,349/sq ft; segment mall revenue in the P&L $133m (+2.3% YoY).
- Shoppes at Venetian $63m revenue/$56m profit at 94.1% occupancy and $2,201/sq ft; Shoppes at Four Seasons $37m/$33m, luxury at 100% occupancy and $5,614/sq ft.
- Shoppes at Londoner $26m/$22m but only 82.4% let; Shoppes at Parisian $5m/$3m at 69.5% occupancy and $421/sq ft remains the weak corner.
- Chum highlighted 10% tenant-sales growth despite the weaker China consumption backdrop, strong in both luxury and mass retail, a cross-check that visitation and wallet are intact.

F&B, CONVENTION, FERRY

F&B rose 2.9% to $72m and convention/retail/other 16% to $29m, but ferry/other EBITDA dropped to $1m from $5m.

- Londoner added $3m in each of F&B, mall and convention lines YoY, consistent with NBA Cares/community week and MICE activations described as more successful in year two.
- Ferry operations and other revenue grew 19% to $38m; margin 2.6% versus 15.6%.
- 9M ferry/other EBITDA is $8m against $18m; the company did not explain the deterioration.
- It is small, but a $16m-a-year leak worth a question at the next call.

CAPITAL PROGRAMME PAYOFF

Non-gaming matters more as capex lands, but none of the projects add gaming capacity; payoff is premium room nights and attached gaming yield.

- Venetian reintroduction by CNY 2028 brings back ~500 renovated keys skewed to suites and Paiza product.
- Conrad becomes a Londoner-branded hotel.
- Accelerated Botanic Garden fulfils a concession commitment the government weighs in assessing concessionaires.
- The premium segment these target is precisely the one that went quiet this quarter.

US$M – MACAO OPERATIONS NON-GAMING LINES AND HOTEL/MALL KPIS	Q3-26	QOQ	YOY	9M-26	9M YOY
NON-GAMING REVENUE					
Rooms	214	n/a	-2.7%	n/a	n/a
Food & beverage	72	n/a	+2.9%	n/a	n/a
Mall	133	n/a	+2.3%	n/a	n/a
Convention, retail & other	29	n/a	+16.0%	n/a	n/a
Ferry operations & other – revenue	38	-2.6%	+18.8%	115	+18.6%
Ferry operations & other – EBITDA / margin	1 / 2.6%	-75%	-80% / -1,300bps	8 / 7.0%	-55.6%
Total non-casino revenue (incl. ferry)	**486**	**n/a**	**+2.0%**	**n/a**	**n/a**
HOTEL KPIS (OCCUPANCY / ADR / REVPAR, US$)					
The Venetian Macao ~500 rooms on average out of service through Q4-27 for renovation (~400 in Q3-26).	98.3% / 200 / 197	vs 98.2% / 197 / 194	+30bps / flat / +$1	n/a	n/a
The Londoner Macao	97.5% / 264 / 257	vs 96.7% / 262 / 254	+110bps / +$2 / +$4	n/a	n/a
The Parisian Macao	98.3% / 144 / 142	vs 97.4% / 141 / 138	+130bps / -$7 / -$5	n/a	n/a
The Plaza & Four Seasons	96.1% / 504 / 485	vs 95.1% / 507 / 482	+350bps / +$11 / +$29	n/a	n/a
Sands Macao	99.4% / 162 / 161	vs 99.4% / 162 / 161	+100bps / -$4 / -$3	n/a	n/a
COTAI RETAIL MALLS (Q3-26)					
Gross revenue / operating profit / margin	131 / 114 / 87.0%	n/a	n/a	n/a	n/a
GLA (sq ft) / occupancy / TTM tenant sales per sq ft	1.87m / 87.3% / $2,349	n/a	tenant sales +10% YoY (mgmt)	n/a	n/a
Shoppes at Venetian	63 / 56 / 88.9%; occ 94.1%; $2,201/sqft	n/a	n/a	n/a	n/a
Shoppes at Four Seasons (luxury)	28 / 25 / 89.3%; occ 100%; $5,614/sqft	n/a	n/a	n/a	n/a
Shoppes at Londoner	26 / 22 / 84.6%; occ 82.4%; $1,924/sqft	n/a	n/a	n/a	n/a
Shoppes at Parisian	5 / 3 / 60.0%; occ 69.5%; $421/sqft	n/a	n/a	n/a	n/a

5 SEGMENT DEEP-DIVE — BALANCE SHEET, CAPITAL RETURNS AND DEVELOPMENT PIPELINE

Liquidity is comfortable ($1.09bn cash, ~$2.31bn undrawn revolver, 2027 notes being refinanced), but a ~$1bn annual dividend against ~$2.1bn run-rate EBITDA and a multi-year capex cycle leaves little slack if the market keeps contracting.

LIQUIDITY AND LEVERAGE

Liquidity is comfortable with $1.09bn cash and ~$2.31bn undrawn revolver, but indicative net debt of ~$5.3bn is trending the wrong way.

- Unrestricted cash $1.09bn (US GAAP); HK$18.10bn (~$2.31bn) available under the 2024 SCL Revolving Facility.
- Period-end debt not disclosed; last reported total borrowings $6.43bn at 30 June 2026 (IFRS), down from $7.10bn at December 2025 after $613m of Q2 revolver repayments.
- Net debt ~$5.3bn is roughly 2.5x annualised 9M EBITDA of ~$2.1bn and ~3.0x gross, manageable for an investment-grade-adjacent concessionaire.
- The $516m interim dividend left the balance sheet on 9 October, after quarter-end.

REFINANCING

SCL launched USD senior unsecured notes on 26 October to redeem the $700m 2.300% 2027 notes; we estimate ~$20m a year of incremental interest.

- Offering is Rule 144A/Reg S to professional investors; proceeds also repay the drawn 2024 revolver and fund general corporate purposes including capex.
- Size and coupon are unpriced.
- Annual net interest line is ~$290m; 9M net interest $225m, down 7.8% YoY on lower average debt and rates.
- Q3 net interest $73m against $76m a year ago.

CAPITAL RETURNS

Annualised dividend of HK$1.00 (~$1.03bn), a ~9.2% yield at HK$10.86, is covered by ~$1.1-1.2bn free cash flow but with little room for EBITDA to fall further.

- Interim dividend doubled to HK$0.50 per share (HK$4.05bn/~$516m) in August; the yield is the single most-cited support in Citi and JPMorgan notes.
- Free cash flow arithmetic: EBITDA ~$2.1bn less ~$290m interest, negligible cash tax, ~$300m maintenance capex plus development programme.
- LVS bought another 62m SCL shares for HK$793m (~$101m) in Q3, lifting its stake to 75.56%.
- Dumont said capital will go to LVS and SCL buybacks rather than M&A, with no interest in taking LVS private.
- Shrinking free float supports the share technically but makes the dividend a parent-level funding decision.

CAPEX AND PIPELINE

We read total capex at $600-700m a year through 2027, with earnings payoff back-end loaded into 2028 and dependent on premium demand returning.

- D&A runs $750-800m a year; maintenance capex ~$300m; Q3 Macao capex was $154m.
- 2027 development capex comprises the Venetian renovation (highest-ROI project, completion by CNY 2028), the Conrad rebrand into a Londoner-themed hotel and the accelerated Botanic Garden project.
- The Venetian programme rolls off after 2027.

US$M UNLESS STATED	Q3-26	QOQ	YOY	9M-26	9M YOY
LIQUIDITY					
Unrestricted cash & equivalents (US GAAP)	1,090	n/a	n/a	1,090	n/a
Undrawn 2024 SCL Revolving Facility	HK$18.10bn (~$2.31bn)	n/a	n/a	n/a	n/a
Total borrowings (IFRS, 30 Jun 26) 30 Sep 26 borrowings not disclosed; includes $700m 2.300% notes due 2027 classified current.	6,433	vs 7,097 (Dec-25)	n/a	n/a	n/a
Net debt (our estimate)	~5,340	n/a	n/a	n/a	n/a
Net debt / annualised 9M EBITDA (our estimate)	~2.5x	n/a	n/a	n/a	n/a
CASH FLOW PROXIES					
Adj. property EBITDA	529	+23.0%	-12.0%	1,592	-6.5%
Net interest expense	73	n/a	-3.9%	225	-7.8%
Capex – Macao	154	n/a	n/a	n/a	n/a
EBITDA less interest less capex (our proxy) Pre-working capital, tax and corporate; not a reported cash-flow figure.	~302	n/a	n/a	n/a	n/a
SHAREHOLDER RETURNS					
Interim dividend per share	HK$0.50 (~$0.064)	n/a	doubled vs HK$0.25	n/a	n/a
Interim dividend – aggregate (paid 9 Oct 26)	HK$4.05bn (~$516m)	n/a	n/a	n/a	n/a
LVS purchases of SCL shares	62m shs; HK$793m (~$101m)	n/a	n/a	n/a	n/a
LVS ownership	75.56%	up	up	n/a	n/a
DEVELOPMENT PIPELINE					
Venetian renovation	~400 rooms out Q3; ~500 Q4 through Q4-27; reintroduction by CNY 2028	n/a	n/a	n/a	n/a
Conrad → Londoner-themed rebrand; Botanic Garden (accelerated)	2027 development capex (unquantified)	n/a	n/a	n/a	n/a
Maintenance capex / D&A run-rate (mgmt)	~300 / 750-800 per year	n/a	n/a	n/a	n/a
Refinancing (26 Oct 26)	USD senior notes to redeem $700m 2.300% 2027s + repay revolver	n/a	n/a	n/a	n/a

6 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Volume growth in every segment – rolling +31%, non-rolling drop +11%, slot/ETG handle +26% YoY – with mass GGR share at 26.1%, the highest since Q4-23, in a market where mass GGR fell 5.2%. Patron count up double digits, visitation up high-single digits. structural
- Slot/ETG revenue +18% versus +9% for the market, and the base/mid-mass properties are compounding: Sands Macao revenue +37.5% (EBITDA +75%), Parisian +6% with slot handle +39%, Plaza/Four Seasons +15.5% with a 35.7% margin. structural
- Luck-adjusted margin improved 30bps QoQ to 27.0% with reinvestment reduced sequentially while share rose; fixed opex flat QoQ and management says no further significant headcount build – the cost base may have peaked. early
- Venetian renovation on schedule for CNY 2028; ~600 renovated rooms returned with customer feedback 'surpassing expectations' and mass revenue improving sequentially at the property despite ~400 rooms out. early
- Retail is a high-quality cushion: Cotai mall operating profit $114m on $131m revenue (87% margin), tenant sales +10% YoY across luxury and mass, Four Seasons luxury retail 100% let at $5,614/sq ft. structural
- Liquidity and funding in hand: $1.09bn cash, ~$2.31bn undrawn revolver, the only near-term maturity ($700m 2027 notes) being refinanced now; LVS continues to buy SCL stock (75.56%). structural
- Rolling hold of 3.64% (vs 3.3% expected) and Plaza/Four Seasons' swing from -1.15% to 3.76% hold added ~$11m of EBITDA and most of the +$99m QoQ headline improvement. one-off

▼ LOWLIGHTS

- Luck-adjusted EBITDA $518m, -13.5% YoY and flat QoQ; luck-adjusted margin 27.0% vs 31.5% a year ago. The reported +23% QoQ EBITDA move is hold normalisation, not operating improvement. mixed
- Londoner non-rolling hold 18.6% (-480bps YoY) on super-high-end premium-mass play – ~$135m of gross table win forgone on our arithmetic; Londoner EBITDA -18.7% to $178m, margin 26.0%. Unlucky, but it exposes how concentrated the property's mix has become. one-off
- Opex +$106m (+8.1%) YoY to $1.41bn, of which ~$80m is deliberate staffing/table-hours/service investment; management explicitly refuses to trim it while the market contracts, so flow-through stays poor until revenue recovers. structural
- Macau market: Q3 GGR -3.8% YoY, mass baccarat -7.9%, four consecutive months of YoY decline with October likely the fifth; management could not identify the cause of high-end softness (macro, World Cup, offshore-wealth tax all cited). JPMorgan flags downside risk to 2H26/2027 industry estimates. watch
- Venetian: revenue -6.2%, EBITDA -15.3%, 28 fewer tables and ~250 fewer slots, ~500 rooms out through Q4-27 – the flagship is a drag for five more quarters. watch
- Net income -29.8% to $191m; implied quarterly EPS ~US$0.024 (~HK$0.18). Dividend cover is thin: ~$1.03bn annualised payout versus ~$1.1-1.2bn FCF after capex at the current ~$2.1bn EBITDA run-rate, and the $516m interim left the balance sheet on 9 Oct. watch
- Ferry & other EBITDA $1m vs $5m (9M $8m vs $18m) and Parisian margin 19.9% (-440bps) – small, unexplained and persistent margin leaks. mixed
- Governance/float: LVS at 75.56% and rising, dividend policy effectively set by the parent's capital-return programme; Macau government's 2026 GGR budget (MOP236bn) now needs an implausible ~MOP48bn Q4 – a cut would weigh on sentiment. governance

7 FORECAST & OUTLOOK

Guidance bridge. Sands China gives no formal guidance; the only numeric target is the long-standing $700m quarterly EBITDA goal, which was retained without a date and is now explicitly conditional on both completing the product programme and the Macau market growing again. What did change versus Q2 is the operating frame: fixed opex is now flat QoQ with no further headcount build, reinvestment is being reduced sequentially, ~500 Venetian rooms (vs ~400) will be out in Q4, 2027 capex is anchored on three named projects, and the 2027 notes are being refinanced. The YoY EBITDA bridge below shows the quarter was lost at The Londoner's premium-mass tables and in the cost base, not in volumes.

Q3-25 ADJ. PROPERTY EBITDA	LONDONER PREMIUM-MASS HOLD 18.6% VS 23.4% + PORTFOLIO MASS HOLD -270BPS	OPEX +$106M YOY (~$25M GAMING TAX ON HIGHER WIN, ~$80M STAFFING/TABLE HOURS), OFFSET BY VOLUME/SHARE GAINS AND SLOT WIN +18%	FAVOURABLE ROLLING HOLD 3.64% VS 3.3%
$601m	**~-$135m gross table win (est.)**	**Luck-adjusted Q3-26 $518m**	**+$11m → reported $529m**
luck-adjusted $599m (hold -$2m)	mass table win -2% YoY despite drop +11%	-13.5% YoY / flat QoQ	-12.0% YoY / +23.0% QoQ

Independent view. Q4-26E (our estimates): segment revenue ~$1.98-2.05bn (+2-5% QoQ) and adj. property EBITDA ~$545-575m hold-normalised (margin ~27.5-28%). Seasonality (Golden Week extended by NBA Macau week year two, December) and a flat fixed-cost base should give modest operating leverage even if market GGR is down low-single digits YoY; the swing factors are Londoner mass hold reverting toward 21-23% (worth ~$60-120m of gross win QoQ) and whether the high-end absence persists. **FY26E EBITDA ~$2.14-2.17bn** (9M $1.59bn + Q4E), margin ~27.3% – a reset from the 31%+ margins of 2025. **2027:** we would not underwrite a return to $600m+/quarter until the Venetian suites and salons are back (CNY 2028); the realistic 2027 range is $2.2-2.4bn, with the $700m/quarter goal a 2028+ event. **Leverage drifts up, not down:** the $516m interim dividend paid 9 Oct plus ~$150-200m quarterly capex against ~$300m of EBITDA-less-interest-less-capex means Q4 net debt rises toward ~$5.6-5.8bn (our estimate, ~2.6-2.7x), and the new notes will carry a materially higher coupon than the 2.3% they replace. Dividend sustainability at HK$1.00/yr hinges on EBITDA holding ~$2.1bn; a FY25-style final of HK$0.50 in February is our base case but the margin of safety is thin.

What to watch next quarter:

- Macau October GGR print (early November) – a fifth consecutive YoY decline and any government cut to the MOP236bn 2026 budget assumption.
- Londoner non-rolling hold in Q4 (reverting toward 21-23%?) and whether super-premium visitation returns post Golden Week/NBA week.
- Pricing and size of the new USD senior notes and the resulting net interest run-rate; disclosure of 30 Sep net debt in the FY26 results.
- Q4 Macao opex: management promised flat fixed costs – any further increase breaks the 'peak cost base' thesis.
- Venetian: ~500 rooms out in Q4; sequential mass revenue and premium salon progress; any slippage versus CNY 2028.
- FY25-style final dividend decision (February 2027) and LVS's continued SCL share purchases/free-float implications.
- Competitive reinvestment intensity (Galaxy, MGM China, Melco, Wynn, SJM) – management sees 'no let-up but no escalation'; a step-up would hit margin directly.
- Policy: Chinese offshore-wealth tax enforcement and visa/travel measures affecting premium-mass and rolling demand.

DATA CONFIDENCE: MEDIUM All P&L, property-level and volume figures are cross-verified between the SCL HKEX announcement of 22 Oct 2026 (decoded PDF) and the LVS Q3-26 press release; Q2-26 comparatives from the LVS Q2-26 release; call commentary from a third-party transcript (TradingKey) corroborated by the HKEX 'Highlights from the Earnings Call'. Not company-reported and flagged as estimates: quarterly EPS (implied from ~8.09bn shares), gross win and blended hold (volume × reported hold), net debt and leverage (30 Jun-26 IFRS borrowings against 30 Sep-26 US GAAP cash – 30 Sep debt is not disclosed), FCF proxy, FY25 final dividend of HK$0.50 (inferred from the ~8.7% yield quoted by market data). 9M product-line revenue split not disclosed (n/a). Share-price move from Yahoo Finance quote data (single source). FX: HKD/USD ~7.84 as of 22 Oct 2026, implied by the company's own conversions in the release (HK$793m ≈ $101m; HK$18.10bn ≈ $2.31bn); MOP/USD ~8.07.

Sources: [Primary] Sands China Ltd – Inside Information: Results of our Controlling Shareholder, LVS, for the fiscal third quarter ended 30 Sep 2026 (HKEX announcement, 22 Oct 2026) – PRIMARY; [Primary] Las Vegas Sands Reports Third Quarter 2026 Results (PRNewswire, 21 Oct 2026; full text incl. Exhibits 1-7) – PRIMARY; [Primary] LVS Form 8-K Exhibit 99.1, Q3 2026 earnings release (SEC EDGAR; link as cited in SCL announcement) – PRIMARY; [Primary] Las Vegas Sands Reports Second Quarter 2026 Results (22 Jul 2026; Q2-26 comparatives) – PRIMARY; [Primary] Sands China Ltd – Interim results announcement for the six months ended 30 Jun 2026 (borrowings, interim dividend) – PRIMARY; [Secondary] LVS Q3 2026 earnings call transcript and summary (TradingKey, 21 Oct 2026) – secondary; [Secondary] Macau 3Q26 casino GGR falls 3.8% as mass baccarat slides 7.9% (AGB, citing DICJ, 22 Oct 2026) – secondary; [Secondary] Sands China Q3 gaming volume rises; Citi and JPMorgan reaction (BigGo Finance, 22 Oct 2026) – secondary; [Secondary] Sands China third quarter revenue rises 8.4% as Macau market share grows (Focus Gaming News, 22 Oct 2026) – secondary; [Secondary] Sands China plans notes offering to refinance US$700mln debt (GGRAsia, 27 Oct 2026) – secondary; [Secondary] Sands China declares improved interim dividend (AGB/asgam, 17 Aug 2026) – secondary; [Secondary] Yahoo Finance – Sands China Ltd (1928.HK) quote history (22-23 Oct 2026 closes) – secondary; [Secondary] Macau September GGR -1.2% YoY (GGRAsia, 1 Oct 2026) – secondary; [Secondary] StockTitan mirror of LVS Q3 2026 release incl. LVS share reaction (-2.61% on 22 Oct) – secondary.

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.